

Construction Contractor KPI Cheat Sheet

Key performance indicators for small to medium contractors and specialty contractors

PROFITABILITY

Gross Profit Margin *

$$\frac{(\text{Revenue} - \text{Direct Job Costs})}{\text{Revenue}}$$

How much revenue remains after direct job costs. The primary measure of estimating and field execution health.

✓ 15–25% (GC); 20–35% (specialty)

Net Profit Margin *

$$\frac{\text{Net Income}}{\text{Revenue}}$$

Bottom-line profitability after all direct job costs and G&A expenses. Sureties use this to gauge long-term viability.

✓ 3–8%

G&A Overhead Rate

$$\frac{\text{G\&A Expenses}}{\text{Revenue}}$$

Tracks whether general and administrative costs are in line with volume. Rising G&A on flat revenue is an early warning sign.

⚠ >15% warrants review – threshold varies by contractor type and revenue volume

EBITDA Margin

$$\frac{\text{EBITDA}}{\text{Revenue}}$$

Earnings before interest, taxes, depreciation & amortization as a share of revenue. Useful for equipment-heavy contractors.

✓ 8–15%

WIP & JOB COST HEALTH

Estimated Cost to Complete *

$$\text{Total Estimated Cost} - \text{Cost Incurred to Date}$$

The remaining budgeted cost to finish a job. A key driver on the WIP schedule reviewed by CPAs and bond underwriters.

⚠ Per-job; flag if ETC exceeds revised budget

Overbilling (Billings in Excess of Costs) *

$$\text{Billed to Date} - \text{Earned Revenue to Date}$$

Amount billed ahead of work performed. Appears as a current liability on the balance sheet. Sureties monitor concentration.

⚠ Excess overbilling relative to backlog is a red flag

Underbilling (Costs in Excess of Billings) *

$$\text{Earned Revenue to Date} - \text{Billed to Date}$$

Work performed but not yet billed. Appears as a current asset. Chronic underbilling signals a cash flow and billing discipline issue.

⚠ High underbilling drains working capital

Percent Complete *

$$\frac{\text{Cost Incurred to Date}}{\text{Total Estimated Cost}}$$

The POC method driver on WIP schedules. Determines earned revenue recognition. Must be consistent with physical progress in the field.

✓ Reconcile monthly to avoid WIP fade

Job Cost Variance

$$\text{Estimated Cost} - \text{Actual Cost (by phase/division)}$$

Compares budget to actuals at the phase or cost-code level. Negative variance (over budget) should trigger a revised ETC.

⚠ Any phase >5% over budget warrants review

WIP Fade (Profit Fade)

$$\text{Original Estimated GM\%} - \text{Current Estimated GM\%}$$

Erosion of anticipated gross margin as a job progresses. A consistent pattern of WIP fade indicates estimating or field productivity problems.

⚠ Any fade >2% on a single job warrants review

Backlog *

$$\text{Sum of (Contract Value} - \text{Revenue Earned to Date)}$$

Total remaining contracted work. Sureties use backlog to gauge pipeline adequacy and set aggregate bond limits. Must be reconciled to signed contracts.

✓ 6–18 months of revenue in backlog

Retainage Burden Ratio

$$\frac{\text{Total Unreleased Retainage Balance}}{\text{Total Billed A/R}}$$

Tracks how much cash is locked in retainage. Aged retainage beyond contract closeout dates is a liquidity concern and may require legal follow-up.

⚠ Retainage >90 days past final completion requires follow-up

① KEY CALCULATION — EARNED REVENUE TO DATE

Used in the Over/Underbilling formulas above. Earned Revenue to Date is not a raw GL figure — it's derived using the percentage-of-completion (POC) method:

STEP 1 — PERCENT COMPLETE

$$\frac{\text{Cost Incurred to Date}}{\text{Total Estimated Cost}}$$

STEP 2 — EARNED REVENUE TO DATE

$$\text{Percent Complete} \times \text{Total Estimated Contract Revenue}$$

LIQUIDITY & WORKING CAPITAL

Current Ratio *

$$\frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Ability to cover near-term obligations. One of the most watched metrics by surety underwriters and lenders.

✓ ≥1.5 (surety prefers ≥2.0)

Working Capital *

$$\text{Current Assets} - \text{Current Liabilities}$$

Absolute dollar measure of short-term financial cushion. Sureties use working capital to set aggregate bonding capacity (commonly 10–15x WC).

✓ Positive and growing year-over-year

Quick Ratio (Acid Test)

$$\frac{(\text{Cash} + \text{A/R})}{\text{Current Liabilities}}$$

A stricter liquidity test that excludes inventory and other non-liquid assets. More relevant for specialty contractors with significant material on hand.

✓ ≥1.0

Days in A/R (DSO)

$$\left(\frac{\text{A/R}}{\text{Revenue}} \right) \times 365$$

Average number of days to collect on billings. Elevated DSO on construction draws usually indicates a billing or pay app submission problem upstream.

⚠ Industry norm 45–60 days; >75 days is a concern

Days in A/P (DPO)

$$\left(\frac{\text{A/P}}{\text{Direct Job Costs}} \right) \times 365$$

How long the company takes to pay subs and suppliers. Stretching A/P too far damages sub relationships and can trigger lien rights on the project.

✓ Pay within agreed terms (net 30–45)

Cash Flow from Operations

$$\text{From Statement of Cash Flows}$$

Net cash generated from project activity, excluding financing and investing. Profitable companies with chronic negative operating cash flow usually have a billing or collection problem.

✓ Positive on a trailing 12-month basis

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LEVERAGE & CAPACITY

Debt-to-Equity Ratio *

$\text{Total Debt} / \text{Owner's Equity}$

Measures reliance on borrowed capital relative to owner investment. A high ratio signals financial risk; sureties view excessive leverage unfavorably.

⚠️ >2.0 is a concern; surety prefers <1.5

Equity (Net Worth) *

$\text{Total Assets} - \text{Total Liabilities}$

The owner's residual stake in the company. Sureties use net worth as a foundation for bonding capacity. Retained earnings must stay in the company.

✅ Growing year-over-year

Revenue per Employee

$\text{Annual Revenue} / \text{Total FTE Headcount}$

A rough productivity benchmark. Useful for year-over-year comparison and evaluating whether field staffing is keeping pace with volume.

✅ Benchmark varies widely by trade; track the trend

Bonding Capacity Utilization *

$\text{Open Bonded Backlog} / \text{Aggregate Bond Limit}$

Percentage of the surety-approved bond limit currently in use. Running at high utilization limits the ability to bid new public or bonded work.

⚠️ Stay below 80% utilization to preserve bid flexibility

ESTIMATING & BID PERFORMANCE

Bid Hit Rate

$\text{Jobs Awarded} / \text{Bids Submitted}$

Percentage of submitted bids that result in an award. Very high hit rates may indicate under-bidding; very low rates signal pricing or scope problems.

✅ 20–40% for negotiated; varies for hard bid

Estimate Accuracy

$\text{Final Job Cost} - \text{Original Estimate} / \text{Original Estimate}$

Measures how closely final costs track original estimates at the job level. A systematic gap by trade or project type points to a re-bid or scope-gap issue.

✅ Within ±5% of original estimate

Change Order Rate

$\text{Total CO value} / \text{Original Contract Value}$

Volume of approved change orders relative to the base contract. A high rate may indicate scope gaps in the original bid, or a strong opportunity for margin improvement.

✅ Track approved vs. pending separately

Change Order Approval Rate

$\text{Approved CO Value} / \text{Submitted CO Value}$

Tracks how much of submitted CO dollar value is actually approved. Low approval rates point to poor documentation, late submission, or owner disputes.

⚠️ Approval rate below 85% of submitted CO value needs review

SAFETY & FIELD OPERATIONS

EMR (Experience Modification Rate)

Assigned by workers' comp insurer

A multiplier applied to workers' comp premiums. An EMR above 1.0 means worse-than-average claim history and directly increases insurance costs. Many GCs and public agencies use 1.0 or 0.85 as a prequalification threshold.

✅ ≤1.0 (prequalification); ≤0.85 (competitive)

TRIR (Total Recordable Incident Rate)

$(\# \text{ Recordable Incidents} \times 200,000) / \text{Total Hours Worked}$

OSHA's standard rate for normalizing incident frequency to 100 full-time workers annually. Required for most public works prequalification. The construction industry average fluctuates year to year — verify current BLS data annually.

⚠️ >2.0 warrants review (construction avg. ~2.3 per BLS 2024; fluctuates annually)

Labor Efficiency (Crew Rate)

$\text{Budgeted Labor Hours} / \text{Actual Labor Hours (by phase)}$

Compares field productivity to the labor estimate. Below 1.0 means the crew is running behind budget hours, which directly impacts unit cost and job margin.

⚠️ Ratio below 1.0 means over budget on labor hours

Equipment Utilization Rate

$\text{Actual Billed Hours} / \text{Available Hours}$

Measures how productively owned or rented equipment is deployed. Low utilization on owned equipment is a drag on overhead recovery and signals rent-vs.-own review.

⚠️ Below 70% on company-owned equipment warrants review

* **Surety priority KPI:** Metrics marked with an asterisk (*) are commonly scrutinized by surety (bonding) companies and their underwriters when evaluating a contractor's financial statement, WIP schedule, and aggregate bond capacity. These figures are typically reviewed on CPA-prepared financials (reviewed or audited) and must be presented consistently with GAAP percentage-of-completion accounting. Cash basis financials are generally not acceptable to sureties for bond amounts above de minimis thresholds.

ABBREVIATION LEGEND

ABBREV.	FULL TERM	ABBREV.	FULL TERM
A/P	Accounts Payable	FTE	Full-Time Equivalent
A/R	Accounts Receivable	G&A	General & Administrative expenses (off-project overhead)
CO	Change Order	GAAP	Generally Accepted Accounting Principles
CPA	Certified Public Accountant	GC	General Contractor
DSO	Days Sales Outstanding	GM%	Gross Margin Percentage
DPO	Days Payable Outstanding	OSHA	Occupational Safety and Health Administration
EBITDA	Earnings Before Interest, Taxes, Depreciation & Amortization	POC	Percentage-of-Completion (accounting method)
EMR	Experience Modification Rate	TRIR	Total Recordable Incident Rate
ETC	Estimated Cost to Complete	WC	Working Capital
ERD	Earned Revenue to Date (derived — see Key Calculation, Page 1)	WIP	Work in Progress (schedule)